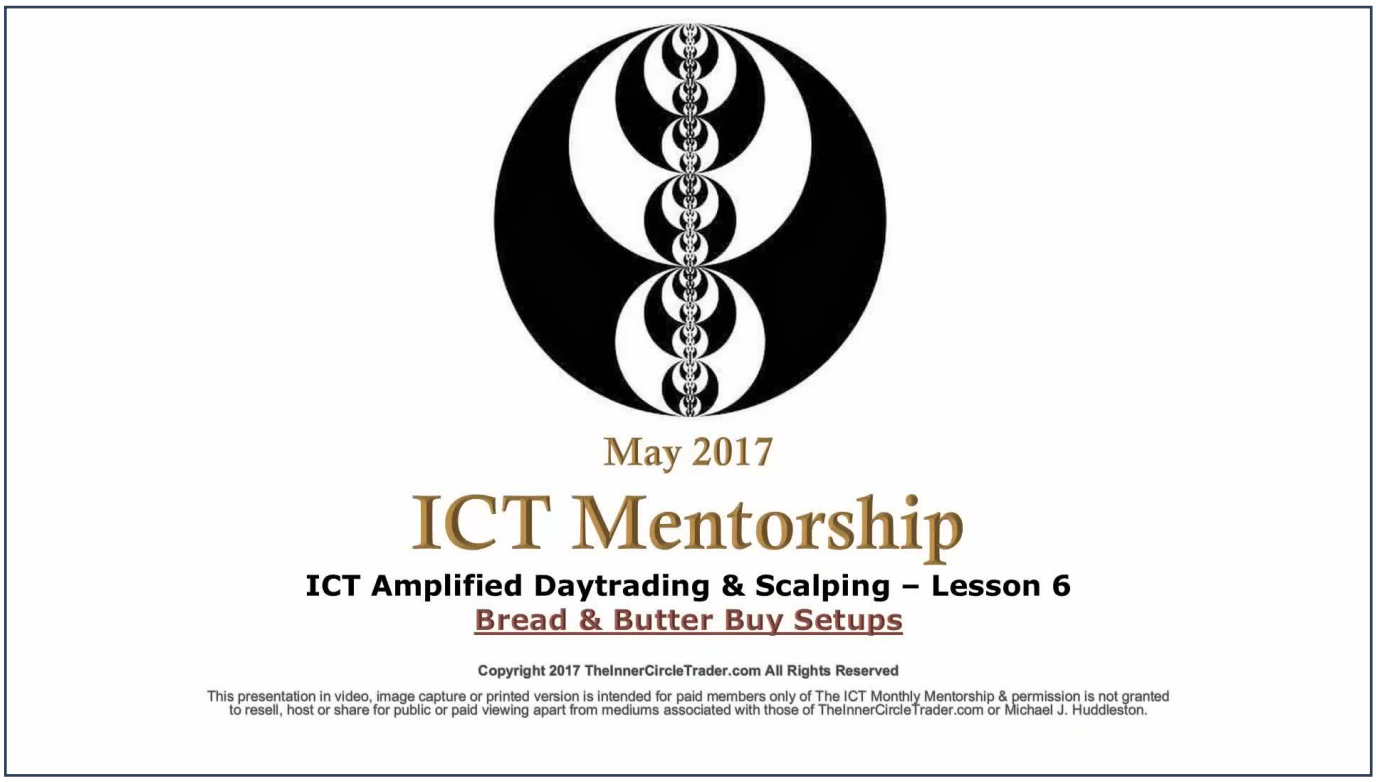
ICT MENTORSHIP CORE CONTENT

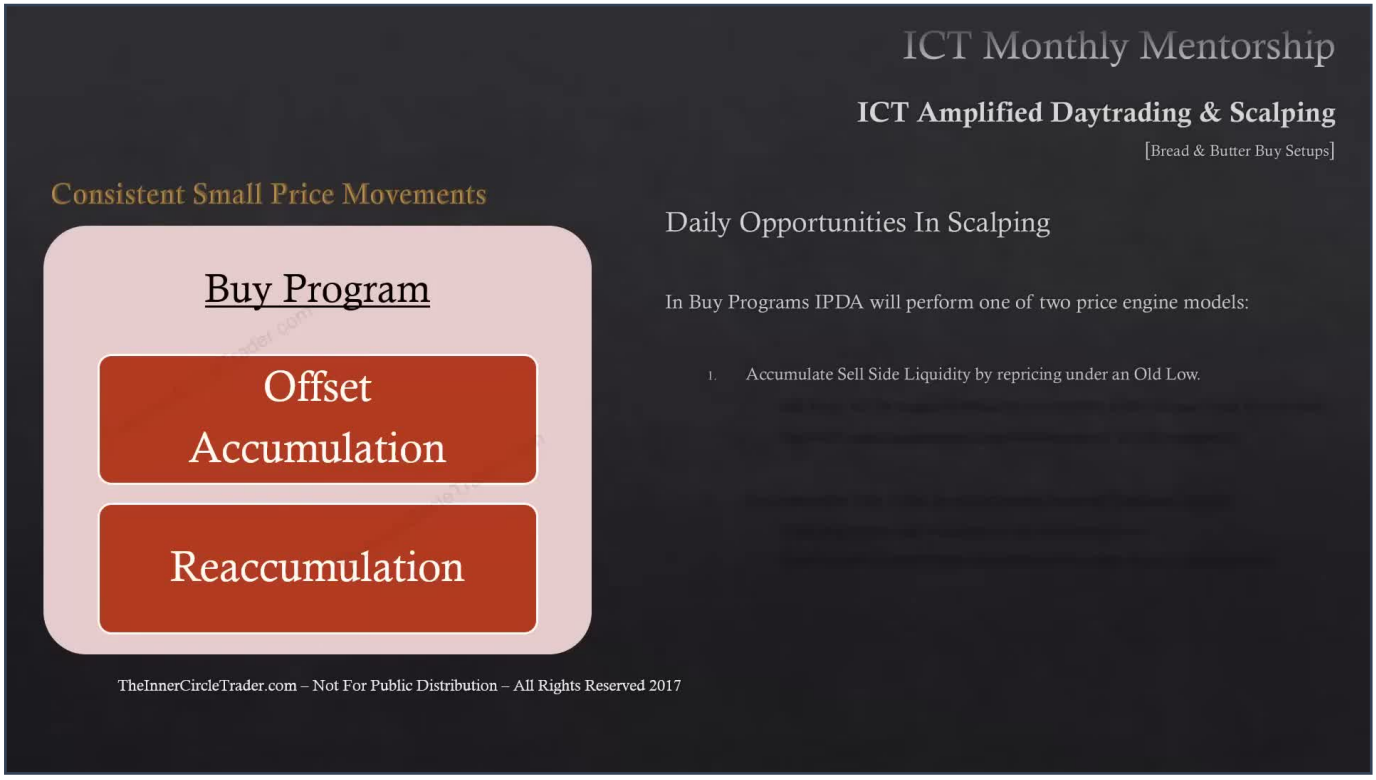
ICT MENTORSHIP CORE CONTENT - MONTH 09 - BREAD & BUTTER BUY SETUPS



Welcome to lesson six of the May 2017 ICT mentorship, focusing on ICT amplify day trading and scalping, specifically 'Bread and Butter Buy Setups'. These are daily opportunities for scalping. The focus is on consistent small price movements that can be harvested just about every day. In buy programs, Institutional Order Flow Algorithm (IFTA) will perform one of two price engine models.

TWO PRICE ENGINE MODELS FOR BUY PROGRAMS

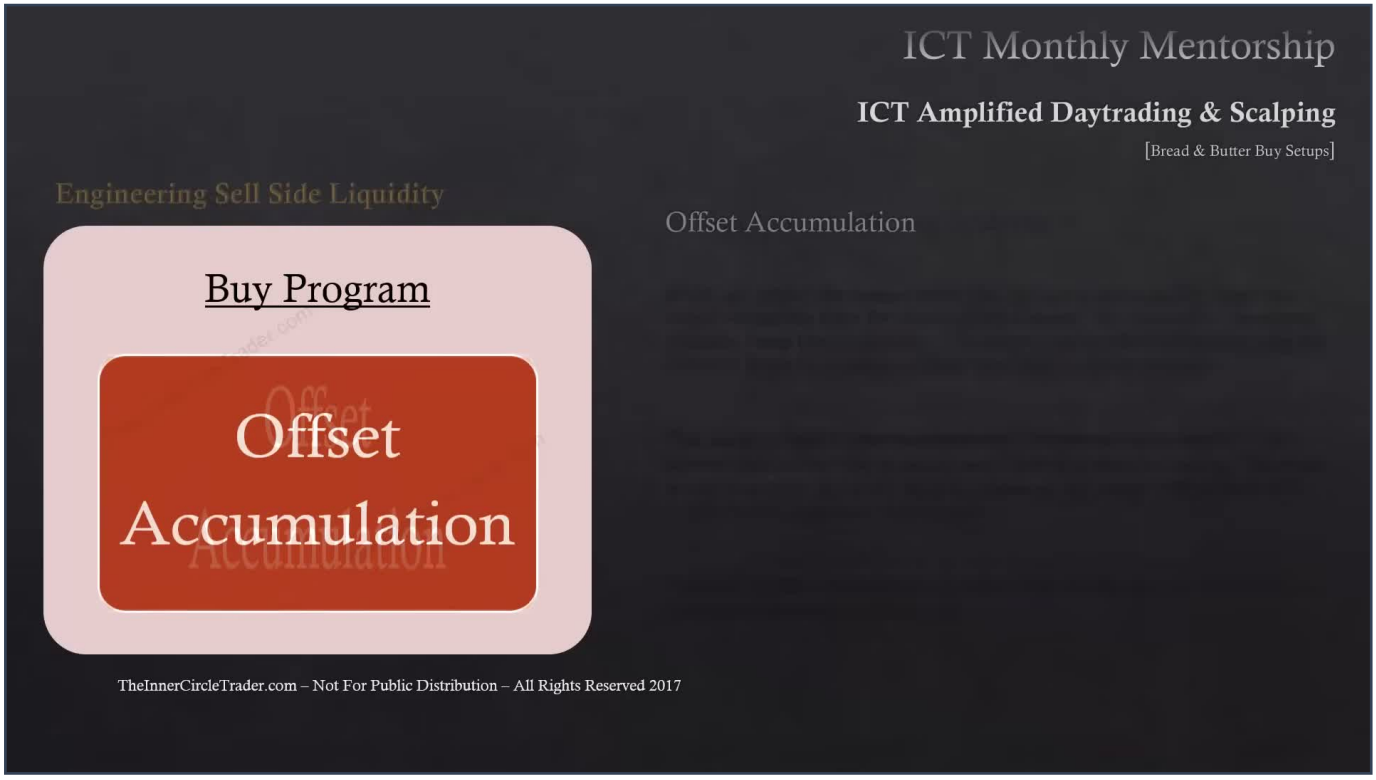
TIMESTAMP: 00:00:54



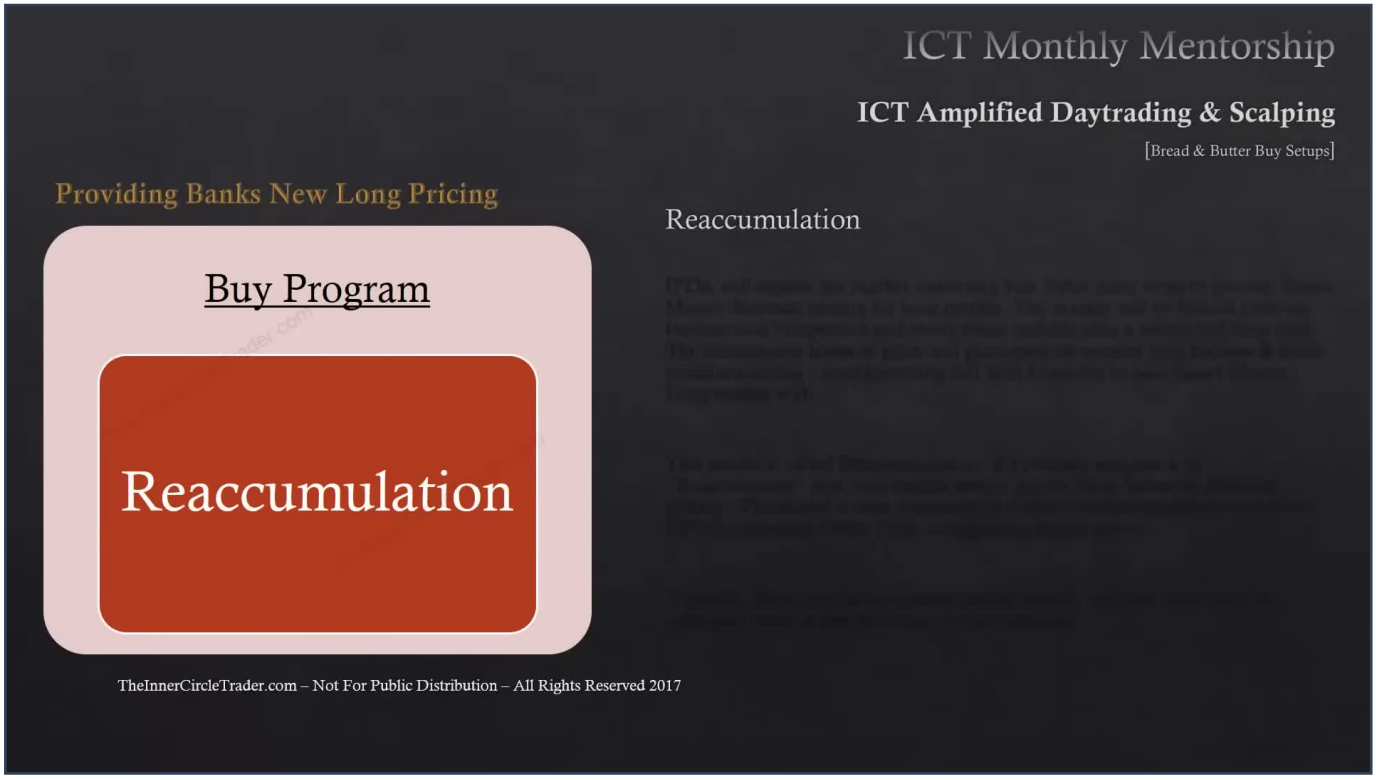
The two primary price engine models in buy programs are:

- Accumulate Sell Side Liquidity (Offset Accumulation): This involves repricing under an old low, triggering sell stops and inducing counterparty sellers to pair long entries. Price will then seek a higher short-term premium array to offset positions.

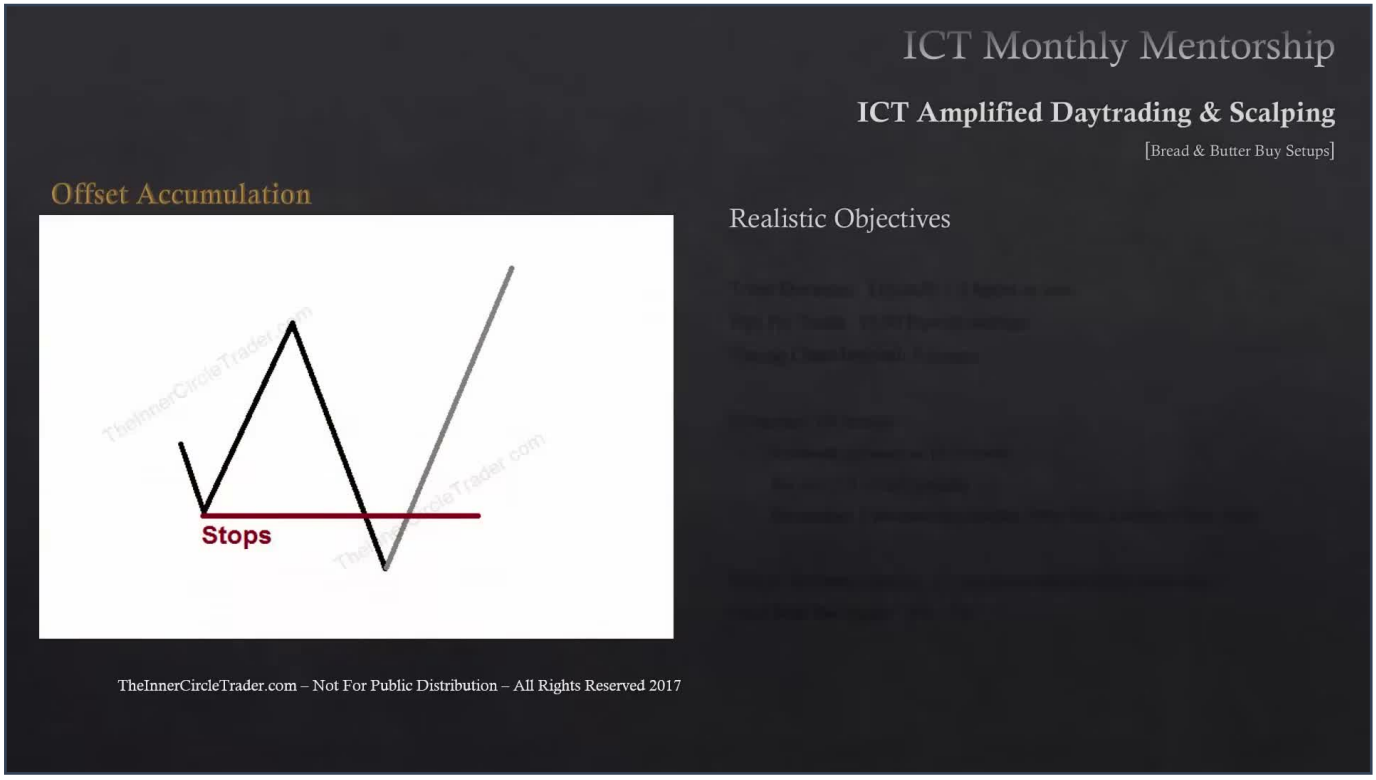
- Re-accumulate Fair Value (Reaccumulation): This involves retracements lower at discount arrays. Weak long holders are squeezed out during the retracement, providing short-term sell-side liquidity to pair up orders. Price will then seek to expand higher to a short-term premium array to offset positions.



Offset Accumulation is the engineering of sell-side liquidity. IFTA will reprice the market below an old low to promote sell stops residing there for current long holders. This essentially engineers sellers at a deep discount price. The open float below that old low may also include sell stops for breakout systems aiming to sell on weakness. Its primary purpose is to offset current long holders or induce more sellers at discount pricing. This model is frequently seen in bullish market conditions when higher time frame institutional order flow suggests higher prices. Offset accumulation models typically unfold quickly, requiring anticipation at key intraday lows.



Reaccumulation provides banks with new long entry points or pricing. IFTA will reprice the market lower to a fair value price array, offering smart money discount pricing for long entries. The market will be bullish from an institutional perspective and often unfolds after a recent sell stop raid. The retracement lower in price places pain on current long holders, tending to induce selling, which in turn provides sell-side liquidity for smart money long entries. Its primary purpose is to reaccumulate new long entries and/or induce more sellers at discount pricing. This model is seen frequently in bullish market conditions when higher time frame institutional order flow suggests higher prices. Reaccumulation models typically unfold quickly, requiring anticipation at key discount arrays intraday.



Scalping objectives include:

- Trade Duration: Typically 1-2 hours or less, with two hours as the maximum.

- Pips per Trade: Usually 15 Pips to 30 Pips on average.

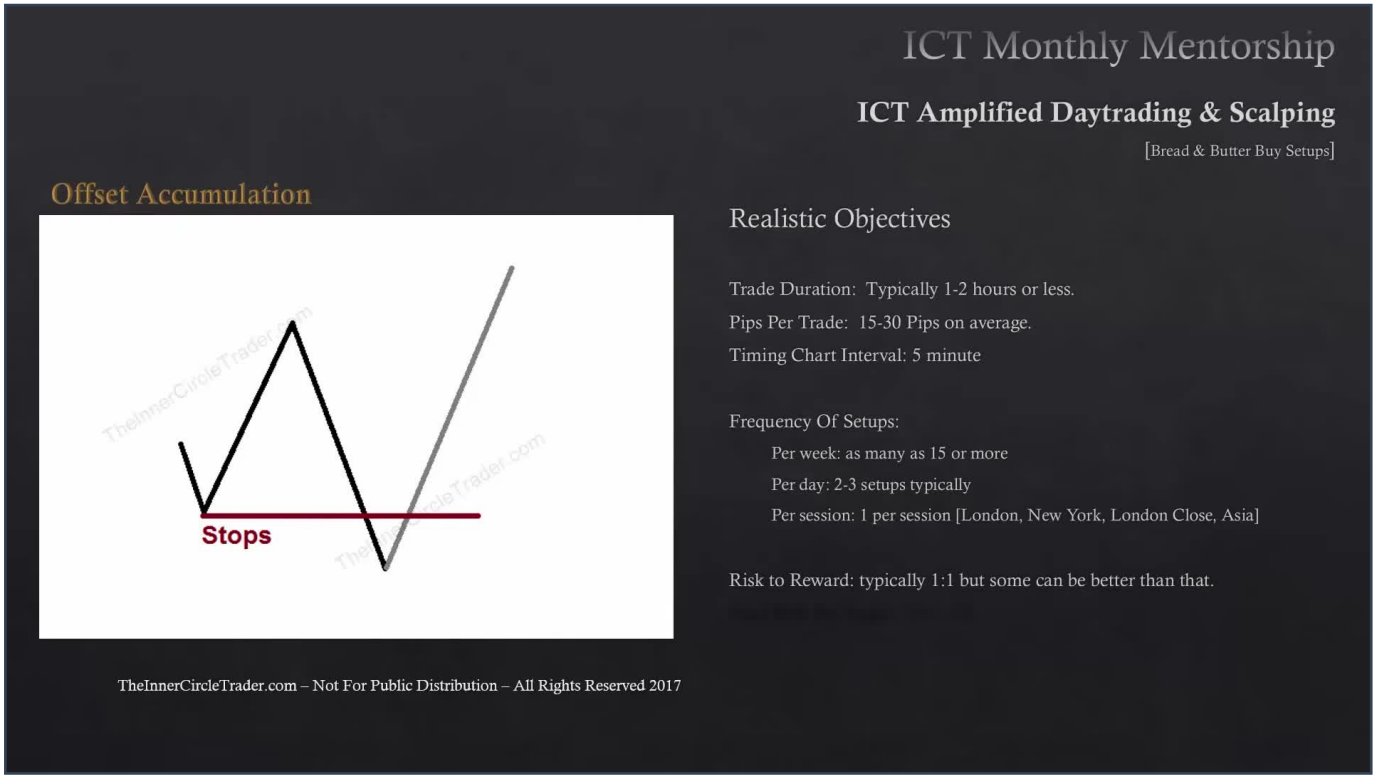
- Market Timing: Using the five-minute chart.

- Frequency of Setups:

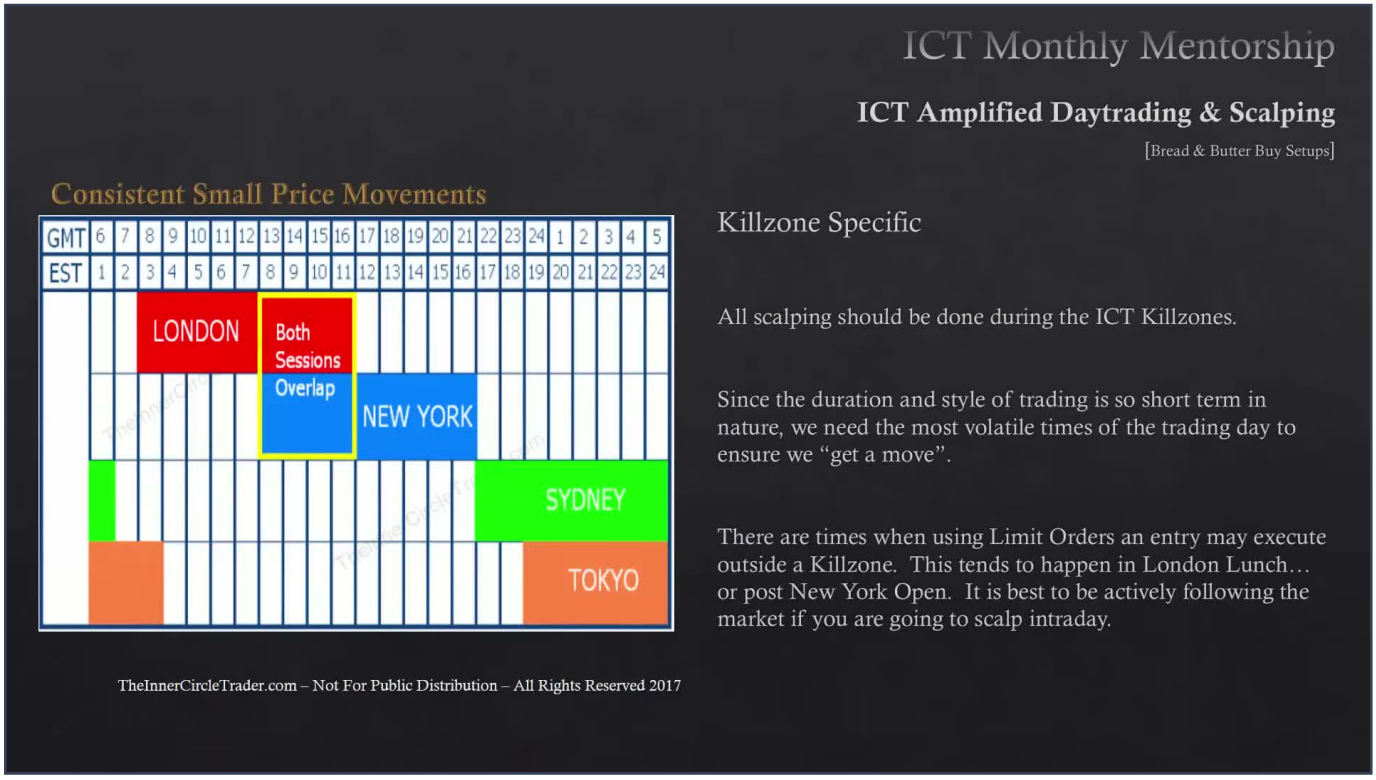
  - Per Week: As many as 15 or more.

  - Per Day: About two to three setups typically.

- Per Session: Generally about one per session (London, New York, London Close, Asia) across a basket of four or five pairs, focusing on the more volatile pairs among major crosses with the dollar.



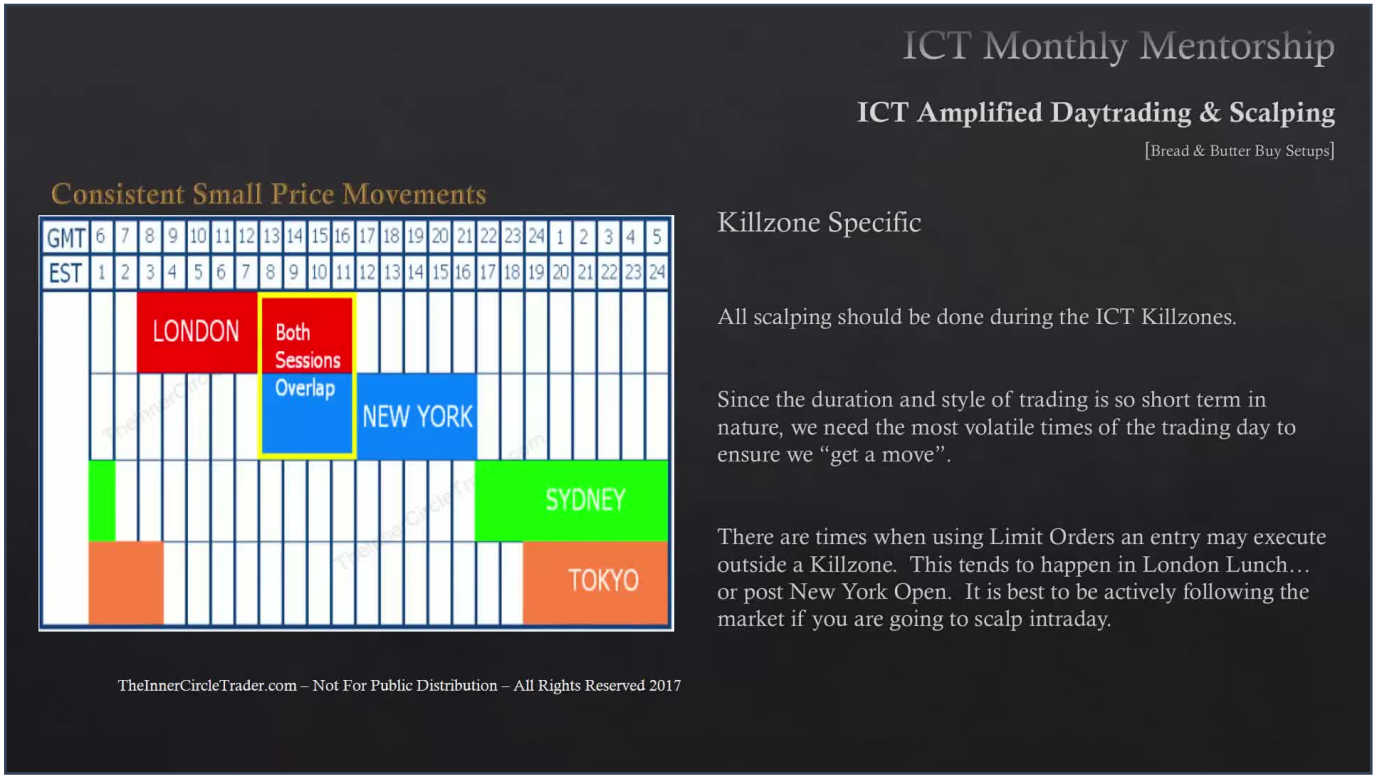
Risk to reward for scalping is typically one to one, though sometimes it can be slightly better. Generally, for scalping, expect a one to one risk to reward ratio. Ideal risk per trade is a half percent to one percent. One percent may be a little high initially, but as skill improves, one percent can be used, though never more. The Offset Accumulation model is basically a stop run on sell stops, engineering sell-side liquidity by knocking out sell stops to drive price higher. The Reaccumulation model, utilizing fair value, typically represents the optimal trade entry.



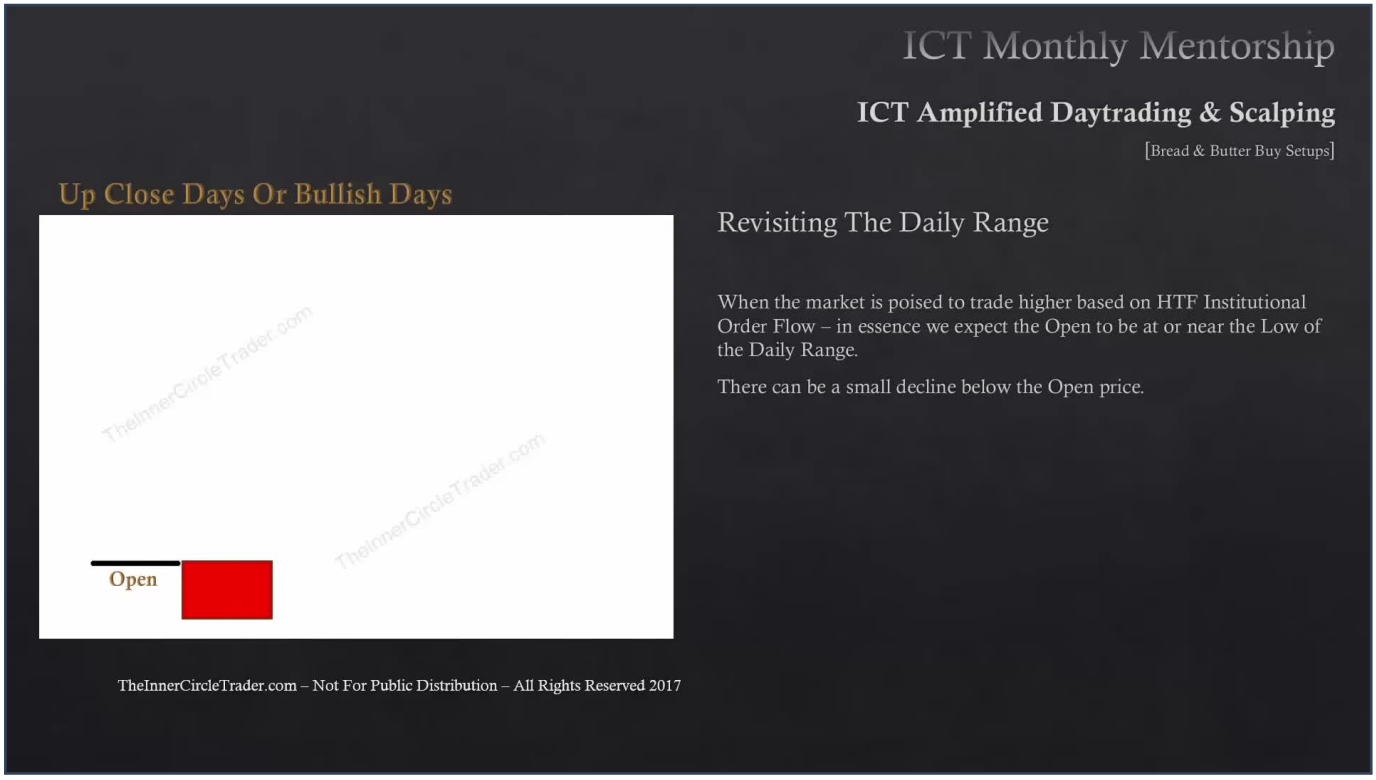
Consistent small price movements are specific to Kill Zones; all scalping should be conducted during ICT Kill Zones. Due to the short-term nature of this trading style, the most volatile times of the trading day are required to ensure price movement. There are instances where limit orders may execute outside a Kill Zone, particularly during London lunch (5 AM to 7 AM New York time) or post New York open (around 10 o'clock and later). It's best to actively follow the market for scalping, using market orders for entry and limit orders for exits.

KILL ZONE TIMING AND BULLISH DAILY RANGE EXPECTATIONS

TIMESTAMP: 00:07:19



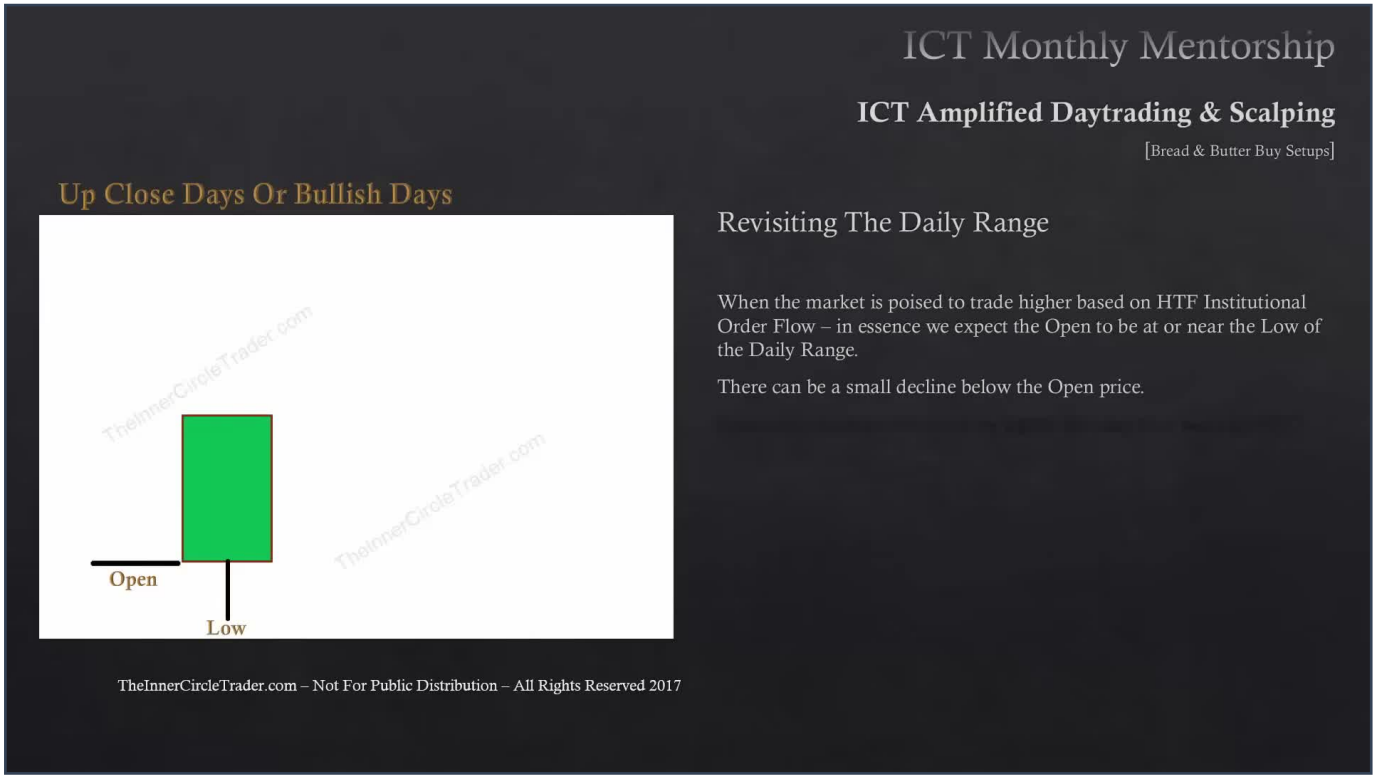
A chart showing major sessions and their overlap with GMT and Eastern Standard Time is useful, but the specific start and end times for each Kill Zone should be referenced from earlier lessons. For 'up close days' or bullish days, revisiting the daily range for completeness is essential. When the market is poised to trade higher based on higher time frame institutional order flow, the expectation is for the open to be at or near the low of the daily range. A small decline below the opening price can occur. The opening prices referred to are 0 GMT (Asia open) and midnight New York time.



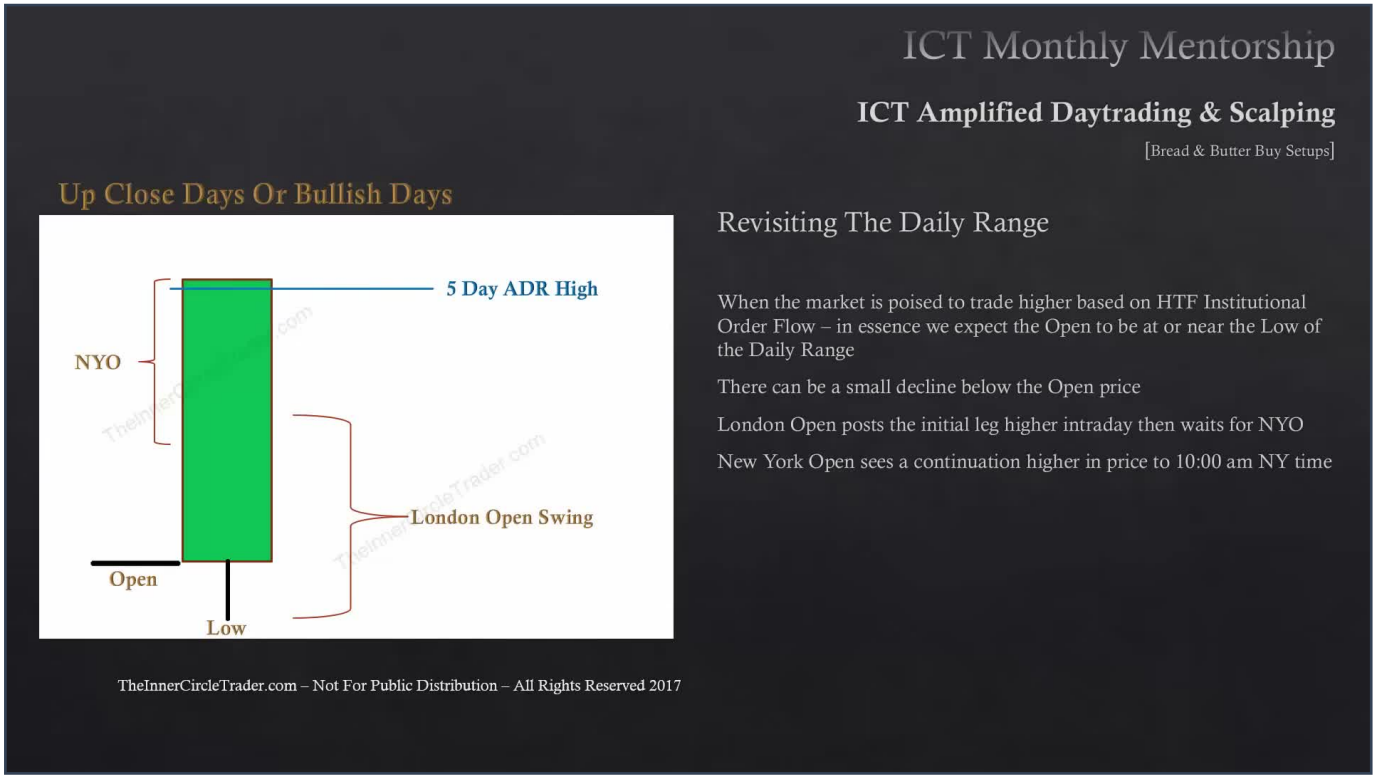
Higher time frame institutional order flow is determined through analysis of monthly, weekly, daily, and 4-hour charts. This includes directional bias studies, IPDA data ranges, quarterly shifts, trading off daily bullish discount arrays, bullish order block support, bearish order blocks breaking away, filling liquidity voids and rallying, or filling fair value gaps and rallying. These are price action signals indicating bullish institutional order flow, without needing trend lines or moving averages. Observe if up-closed candles are being broken and down-closed candles find support. Utilize the PDA Array Matrix to identify where PD arrays are, looking for the next one price trades to for a long entry, and a premium to be counterparty to, framing the trade. Key indicators include old highs breaking but lows holding, or lows being broken quickly followed by price snapping higher (reaccumulation price engine model). These are fingerprints of IFTA showing bullish institutional order flow.

TYPICAL BULLISH DAILY PRICE ACTION FLOW

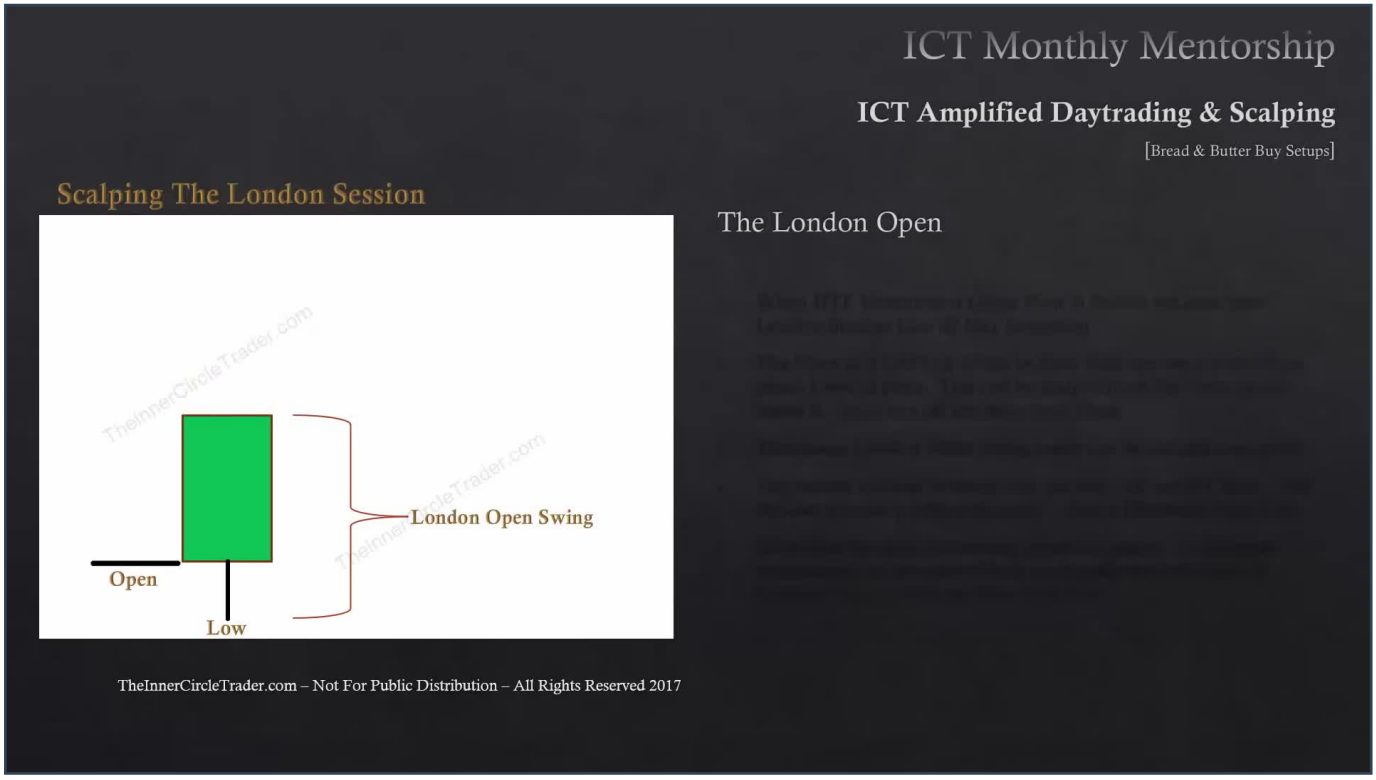
TIMESTAMP: 00:10:13



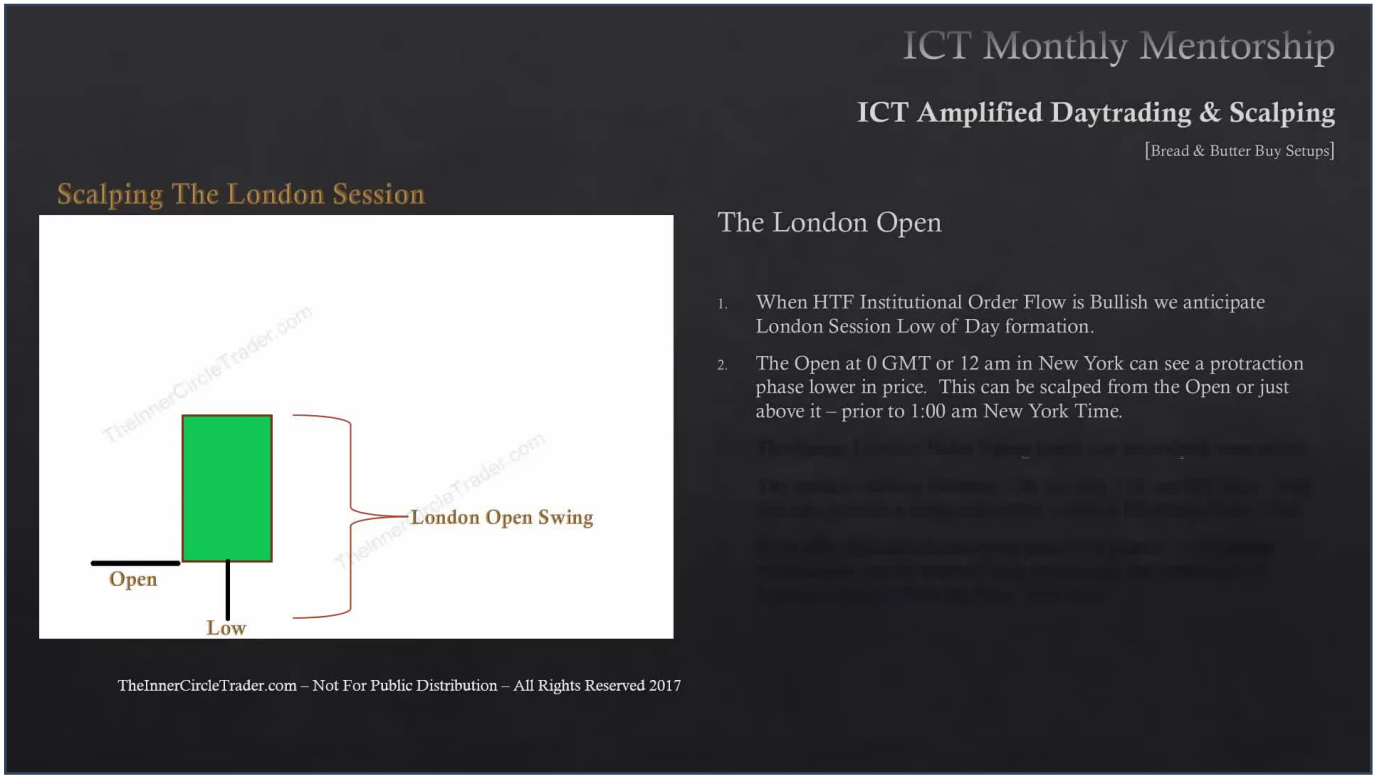
The typical flow for a bullish day: London Open posts the initial leg higher intraday, often volatile and aggressive, accounting for 40-60 percent of the daily range before 5 AM New York time. This is followed by London lunch (5 AM to 7 AM New York time), which usually sees retracement or consolidation. The New York open then sees a continuation higher, expanding up to 10 AM New York time. Around 10 AM, price may consolidate, form the high of the day and retrace, or even reverse entirely. For bullish environments with strong higher time frame institutional order flow, a big range day is expected for scalping.



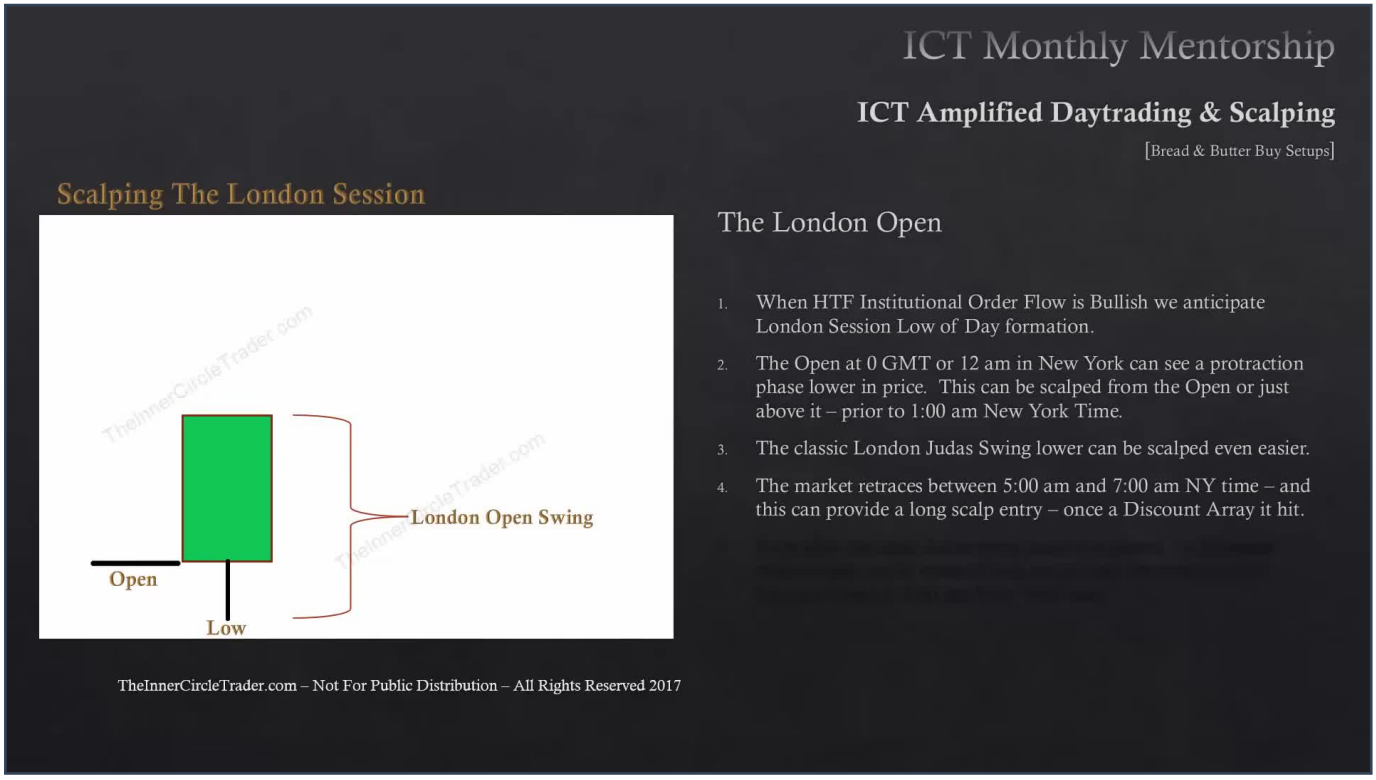
Price should typically trade up to the five-day Average Daily Range (ADR) High. An indicator for this will be provided later. Once the 5-day ADR is hit, and moving into London close time, price usually posts its high and then begins retracing. Between 10 AM and noon New York time, the high of the daily range is expected to form at or above the 5-day ADR projected high. Price will normally retrace lower and close off the high of the day. It's important to remember that 'normally' does not mean 'every time'; ADR is not an absolute barrier, and on highly explosive up moves, price can rally significantly higher, even up to bond close at 3 PM New York time.



For scalping the London session, when higher time frame institutional order flow is bullish, anticipate the London session low of the day formation. The open at 0 GMT (12 AM New York time) can see a protraction phase lower. This move can be scalped from the open or just above it prior to 1 AM New York time, but it requires extreme nimbleness and confidence in identifying discount arrays. A more appropriate approach is to wait for the Judas swing and buy down there. While nimble traders might trade both sides, the recommendation is to specifically look for the Judas swing down on bullish, up-close days to nail down that low.



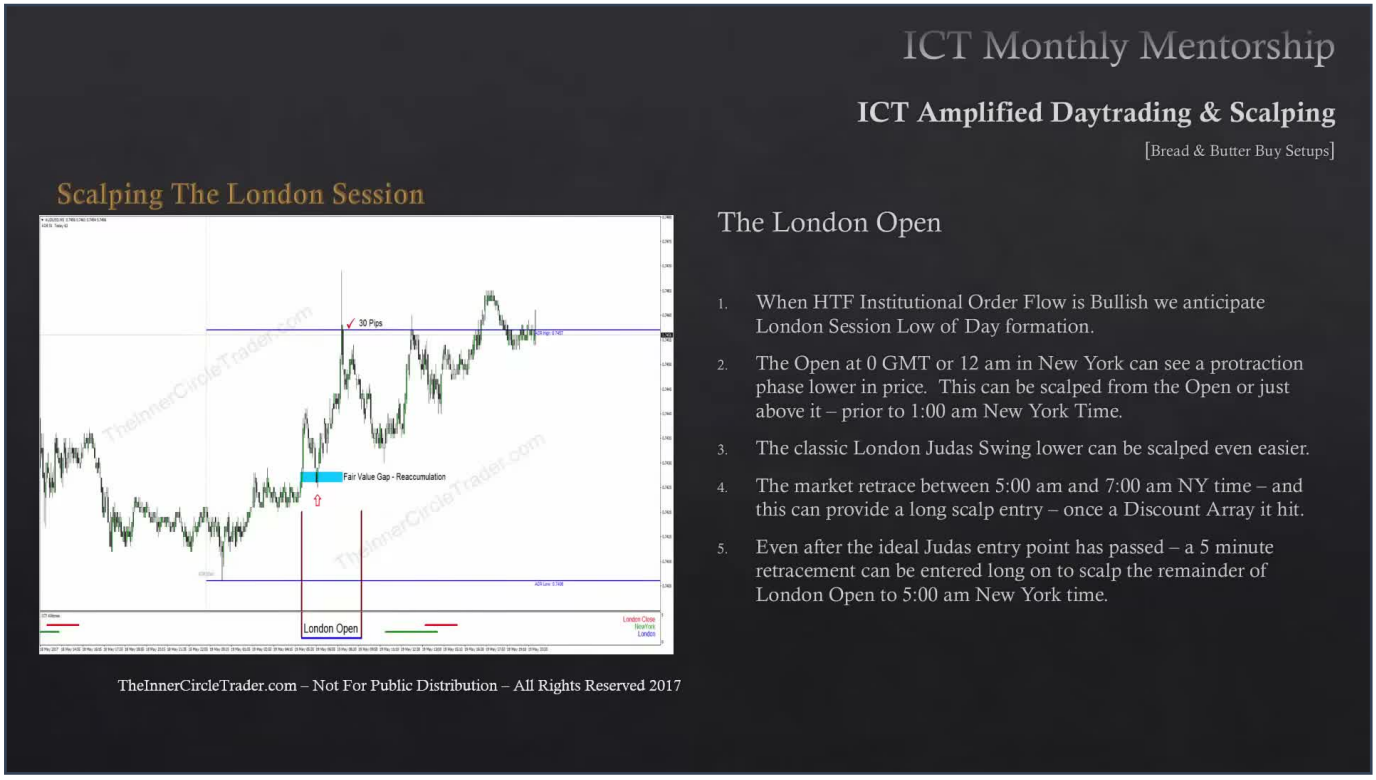
The classic London Judas swing lower can be scalped more easily by observing the midnight candle in New York and the subsequent drop. The market often retraces between 5 AM and 7 AM New York time (London lunch), which can provide a long scalp entry once a discount array is hit. This period, typically quiet, can offer early entries if the market is particularly busy, sometimes leading to a move before the New York open. This occurs more frequently if the London Kill Zone was quiet initially and then became active post 3 PM or 4 PM, with the volatility bleeding into London lunch.



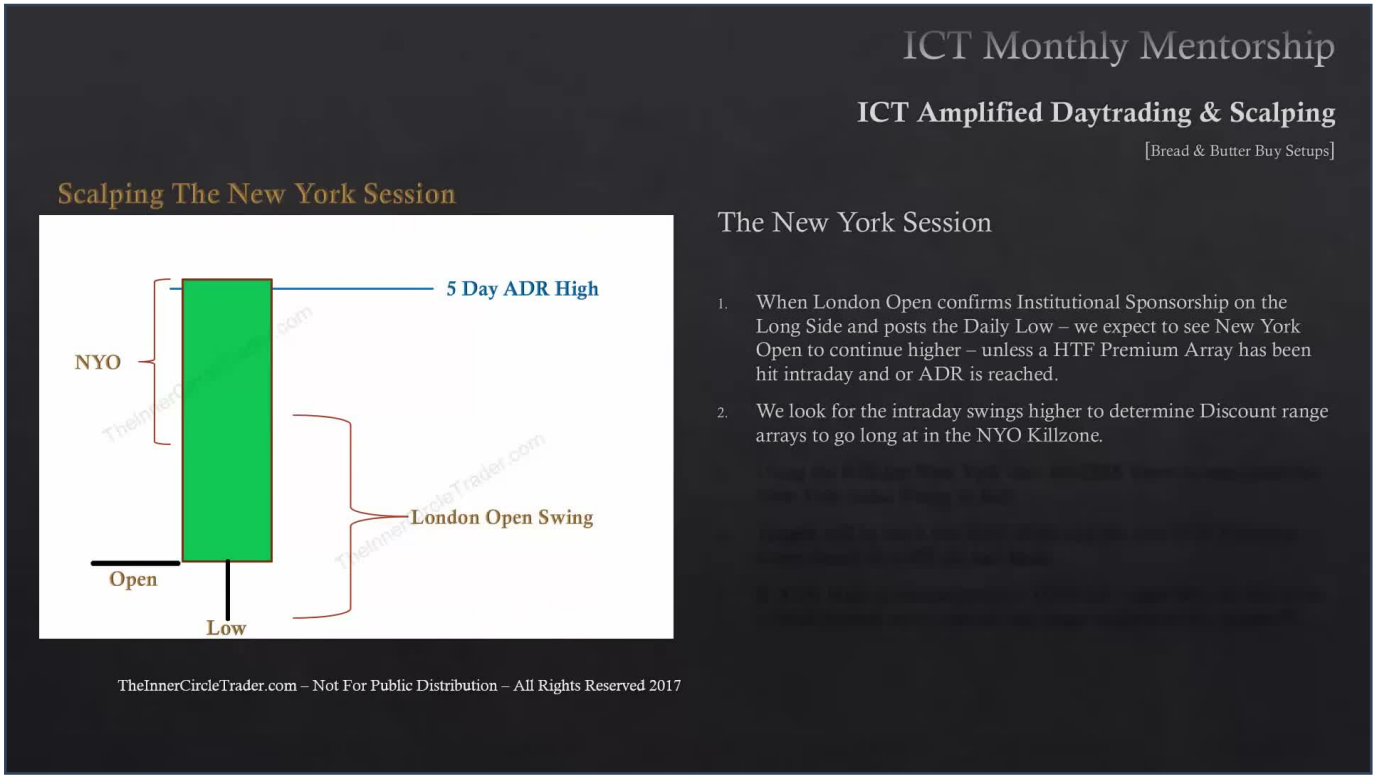
While early entries during London lunch can occur, it is generally better not to trade between 5 AM and 7 AM New York time, treating it as a quiet period, unless London was initially quiet and then very active. Even if the initial Judas entry point is missed, opportunities exist using the five-minute chart for scalping techniques to get in sync. Scalping allows for the use of the five-minute chart, a timeframe not previously emphasized in earlier months focused on higher time frames. While one-minute charts may be briefly discussed, the five-minute chart is the primary working timeframe for scalping.

LONDON SESSION SCALP EXAMPLE & NEW YORK SESSION SCALPING

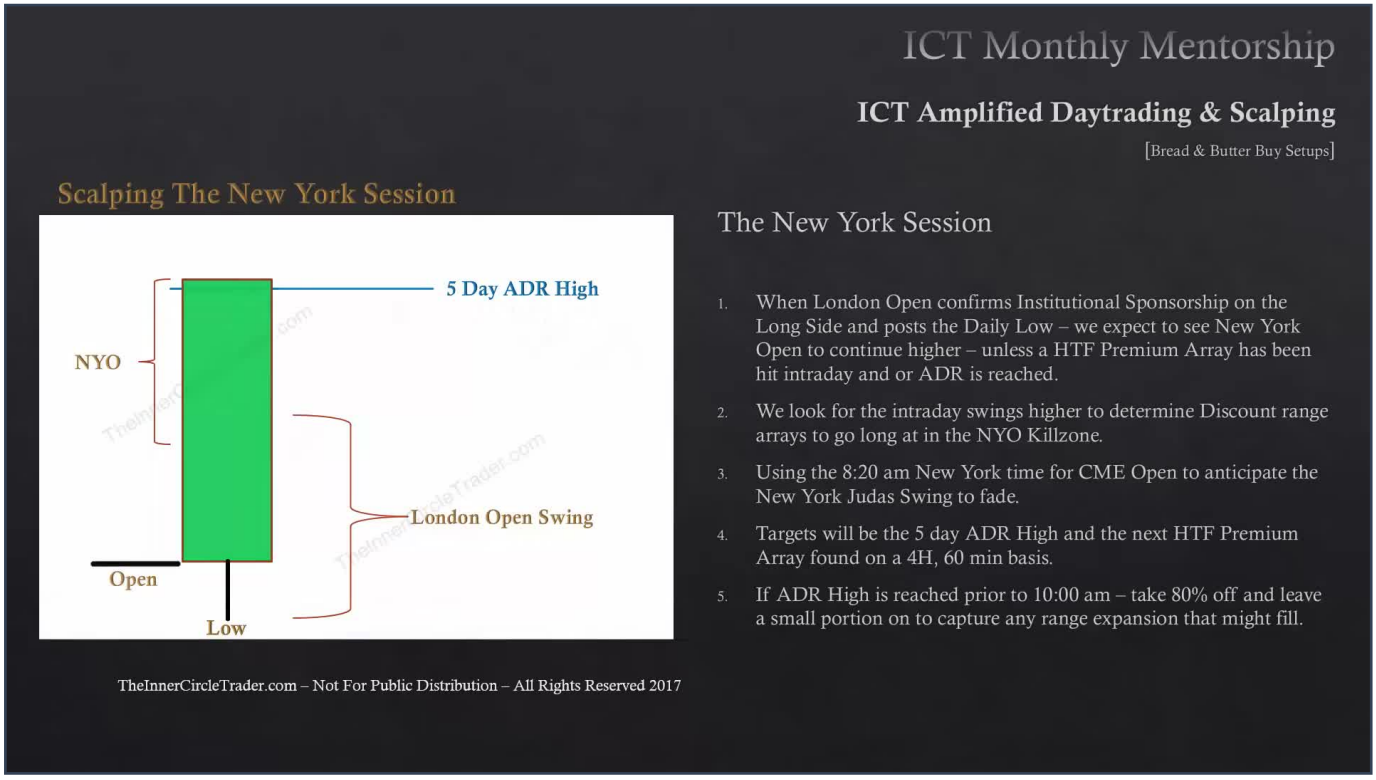
TIMESTAMP: 00:18:00



An example of a London session scalp shows price trading down to fill a fair value gap for reaccumulation in the London open, then trading up, hitting the ADR in London open for a 30 Pip scalp. For scalping the New York session, if London open confirms institutional sponsorship on the long side and posts the daily low, expect New York open to continue higher, unless a higher time frame premium array or ADR is reached. Look for intraday swings higher to determine discount range arrays (bullish order block, fair value gap, liquidity void) to go long in the New York Kill Zone, which is essentially an optimal trade entry long.



The New York Judas swing can be anticipated around the 8:20 AM New York time CME (Chicago Mercantile Exchange) open, when commodity futures contracts begin trading. Targets will be the 5-day Average Daily Range (ADR) High and the next higher time frame premium array found on a four-hour or 60-minute basis. If the ADR high is reached prior to 10 AM, take 80 percent off your position and leave a small portion on to capture any potential range expansion, as ADR can sometimes double.



In a New York open trade example, price drops down after the CME open (blue thin line), filling a fair value gap and trading into an order block, forming the Judas swing for the New York session. Every session has a protractionary market stage:

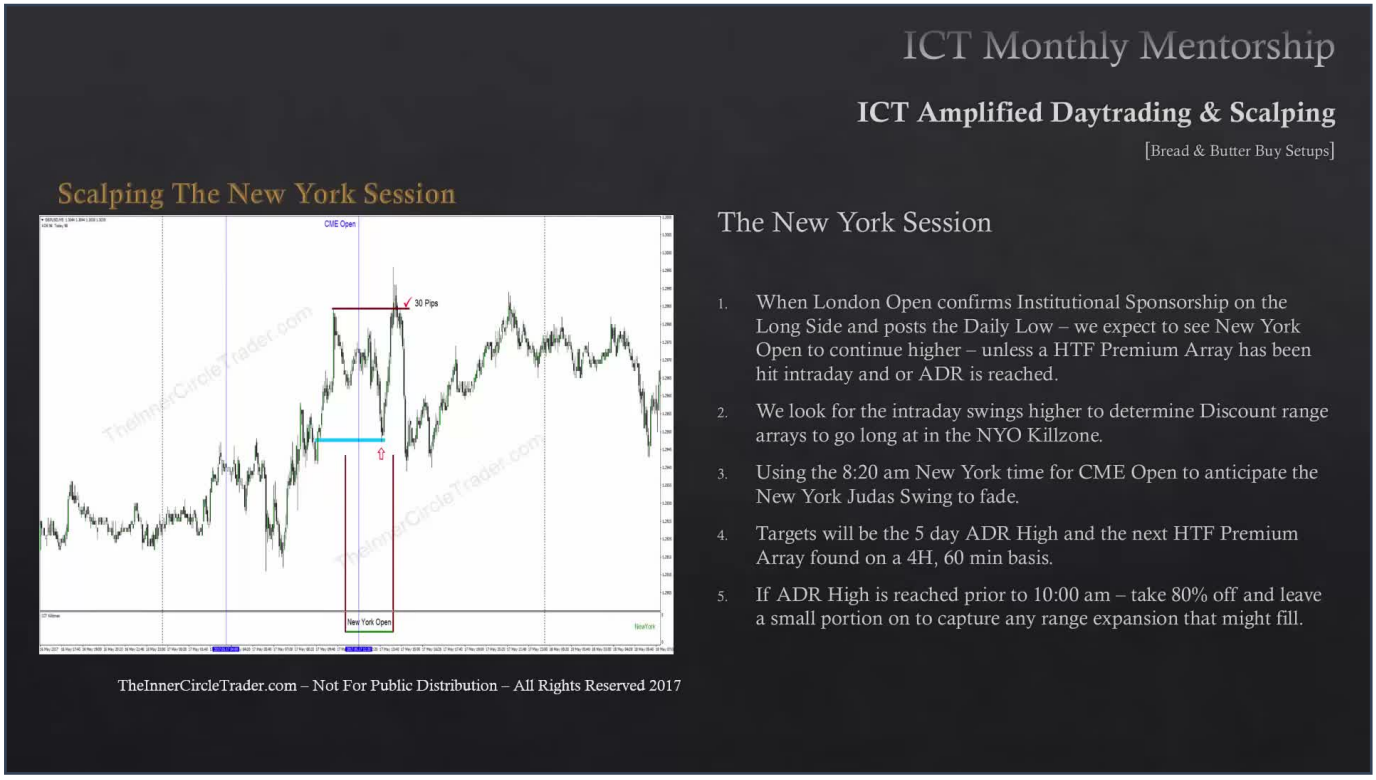
- New York (bullish): Look for 8:20 AM and a Judas swing dropping down after.

- London (bullish): Look for the New York midnight candle and price trading lower after that to be a buyer.

- Asia (bullish): Look for price to trade down right after 0 GMT, just below a previous late session swing low. This constitutes the Judas swing at 0 GMT or Asia open.

LONDON CLOSE SCALPING (BEARISH ON BULLISH DAYS)

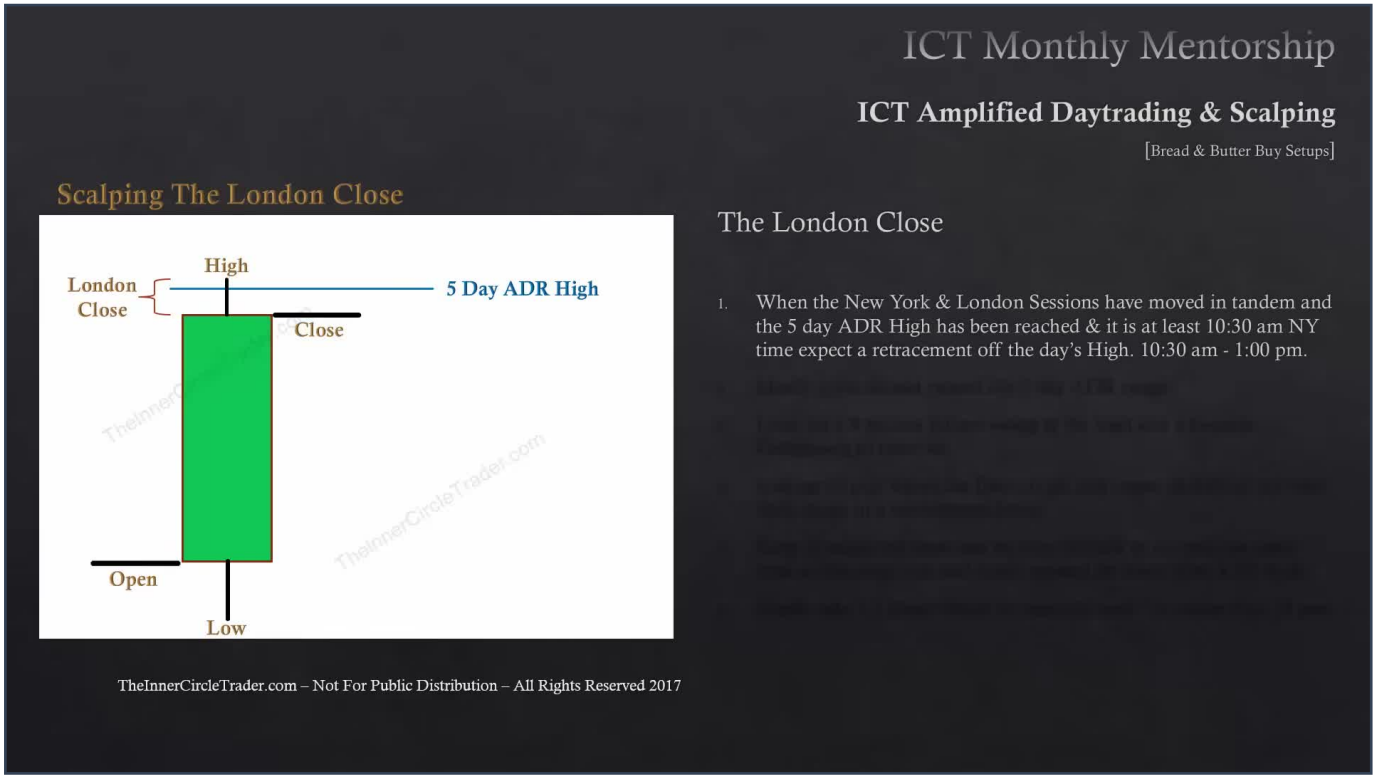
TIMESTAMP: 00:21:19



For London Close, on a bullish day, the expectation is the opposite of a typical buy setup. A rally post 10 AM New York time, which is the Judas swing or protraction stage, creates the high of the day, offering a selling opportunity. This trade type shares characteristics with S&P day trading, which involves a morning trend, a lunch period of consolidation/retracement (11 AM to 1 PM NY time), and a PM trend into the close. The London Close for Forex reflects the time when London traders, who also trade S&P, are going home.

LONDON CLOSE ENTRY CONDITIONS

TIMESTAMP: 00:23:03



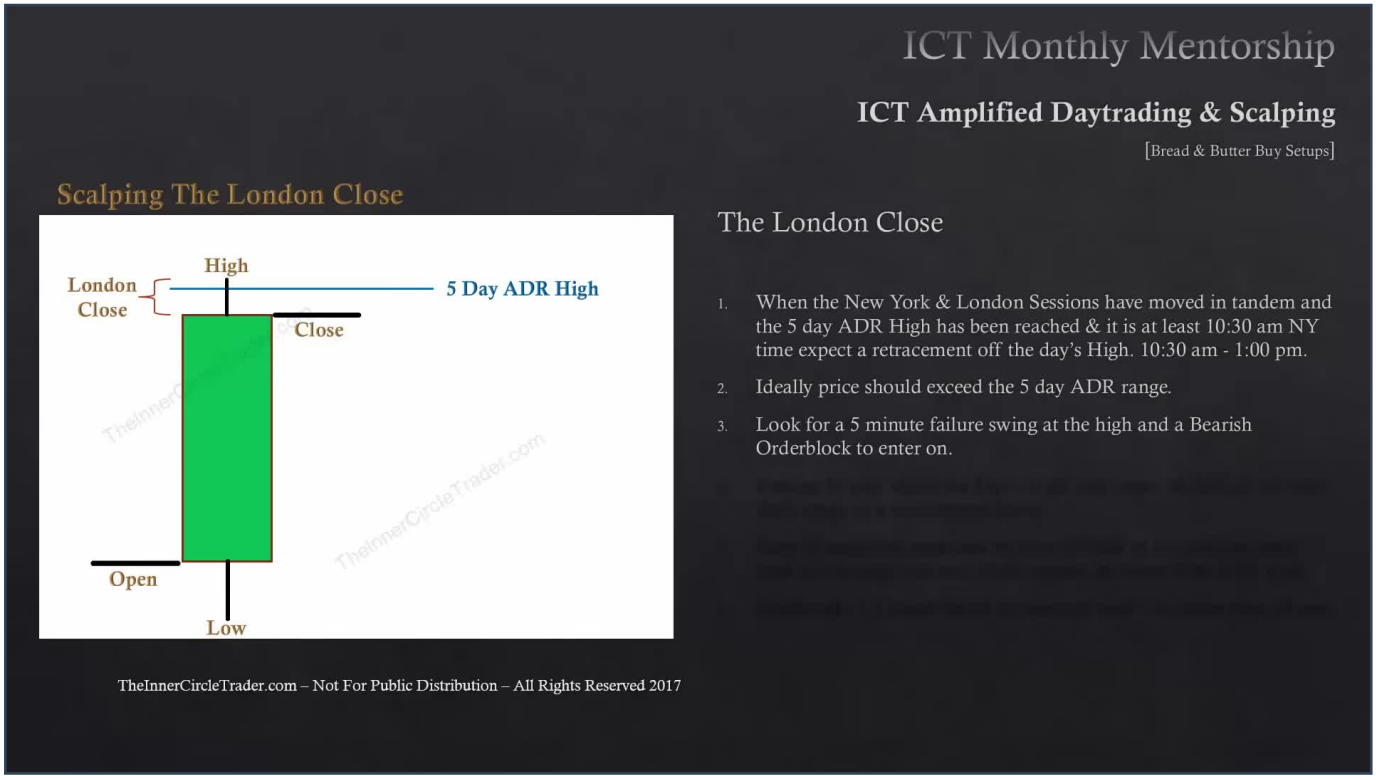
London Close setup conditions:

- New York and London sessions have moved in tandem (same direction).

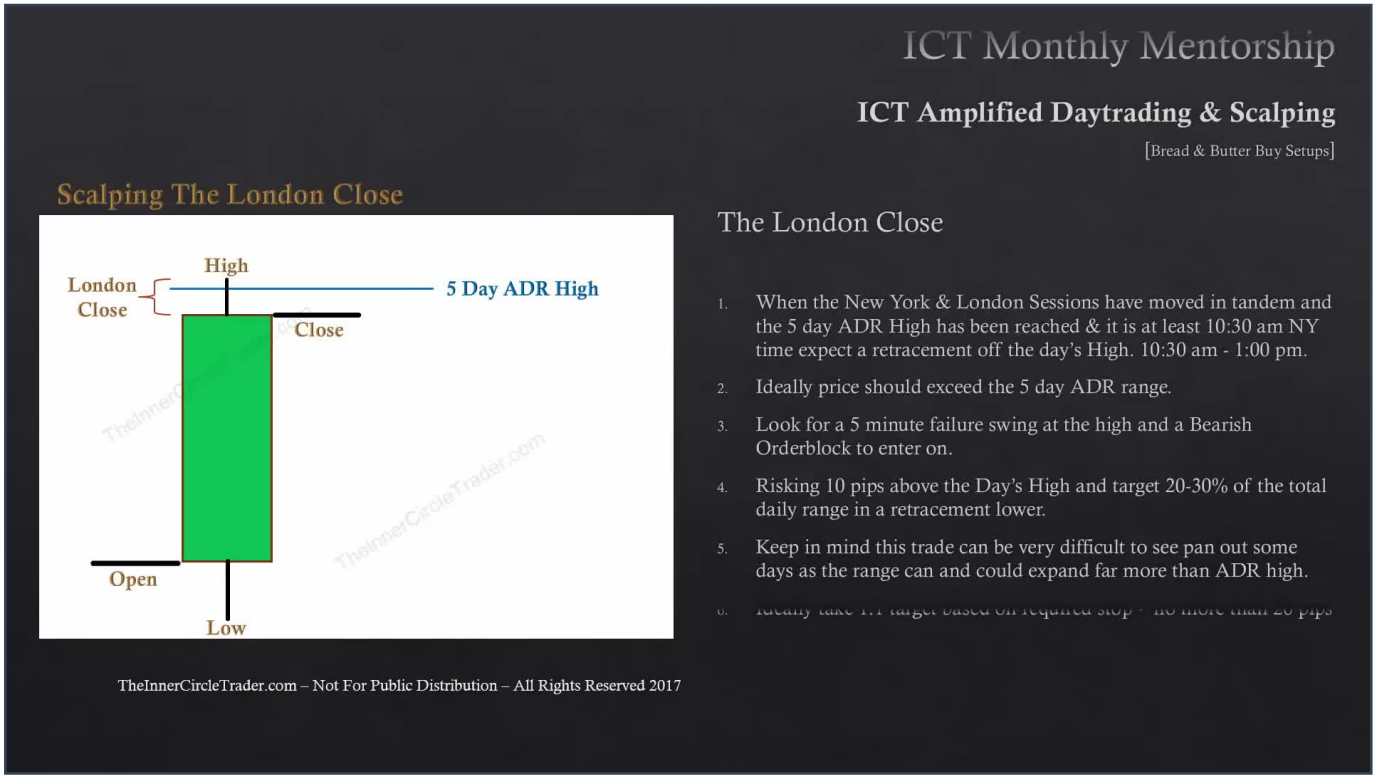
- The 5-day Average Daily Range High has been reached.

- It is at least 10:30 AM New York time.

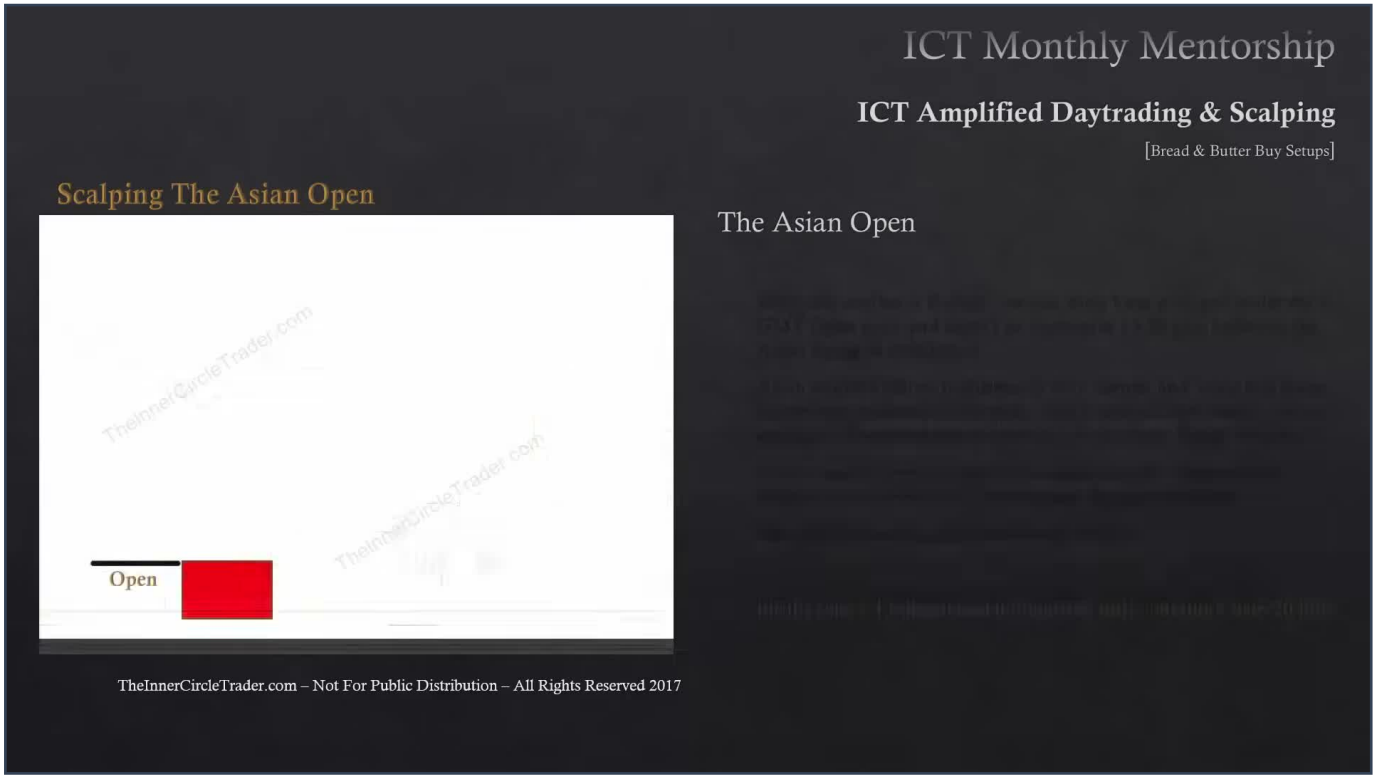
Expect a retracement off the day's high between 10:30 AM and 1 PM New York time. Ideally, price should exceed the 5-day ADR High, indicating an 'overbought' or stretched-out range. Look for a five-minute failure swing at the high and a bearish order block to enter. This involves waiting for price to create a high, back off, then rally one more time into the last up-candle, occurring between 10:30 AM and 1 PM.



For London Close trades, risk 10 Pips above the day's high. Target a 20 to 30 percent retracement of the total daily range. However, this trade can be difficult as the range can expand far more than the Average Daily Range High. The ADR is not a barrier but a calculation of average expansion over the last five days. Expecting a retracement when a big upside move is anticipated can be problematic, as the market might continue beyond the ADR, creating 'double ADR days'. ICT advises caution, noting that he no longer trades London Close in Forex due to insufficient Pips or frequent stop-outs, though it's more favorable for S&P index trading. Aim for a one to one risk to reward ratio, targeting no more than 20 Pips (ideally 15 to 20 Pips).

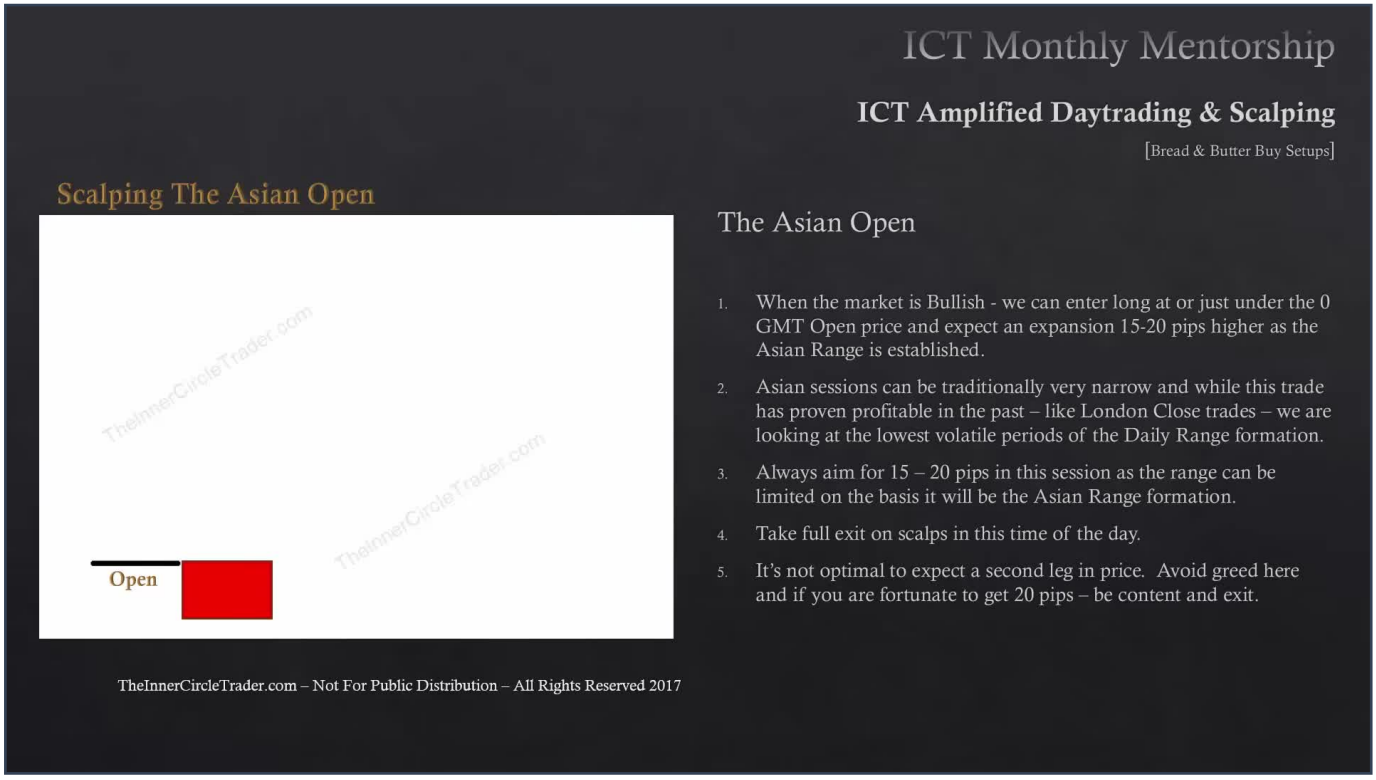


Ideally, take one to one risk to reward targets, aiming for no more than 20 Pips (typically 15 to 20 Pips). Be content with 20 Pips and move to the sidelines. For a London Close objective, use Fibonacci levels on the daily range (from the daily low or London low up to the 5-day ADR high). The London Close objective is generally between the 0.20 and 0.30 levels on the Fibonacci retracement, where the market will typically retrace and close off the high of the day. Using these Fibonacci levels as a 'crutch' is helpful while learning to identify these ranges visually.



For scalping the Asian open when the market is bullish, enter long at or just under the 0 GMT opening price, expecting an expansion of 15 to 20 Pips as the Asian range is established. However, Asian sessions are traditionally narrow, and past profitability is not indicative of future gains. Similar to London Close, Asian open is one of the lowest volatile periods. While discussed for completeness in understanding daily range formation and IFTA's engineering of ranges through time of day, it typically does not offer enough reward for the risk. Focus on New York and London sessions for more significant price movement. Always aim for 15 to 20 Pips in this session due to limited range.

Take full exits on scalps during the Asian session; do not leave portions on. It is not optimal to expect a second leg in price; avoid greed, and be content with 20 Pips. The Asian session is often quiet and forms the initial high and low of the day. Holding an Asian session trade, even if it initially yields 27 Pips, is risky because it might be a Judas swing that gets stopped out by a later move after midnight, causing frustration and missing subsequent, more significant moves in London or New York.



This lesson has provided rules and context for scalping, focusing on how price engine models (Offset Accumulation and Reaccumulation) deliver price for buying opportunities. Bank traders utilize these opportunities to pair their orders, and retail traders can do the same through scalping. Even in quiet markets, consistent 15-20 Pips a day, a couple of times a week, is achievable. As previously discussed, consistently gaining 25-30 Pips a week can double your money over a year, and scalping makes this attainable.